

Business Credit Building Guide

The Cleaning CEO Blueprint — 100% Cleaner Academy

Business credit helps you access vendor terms, better insurance rates, and financing — **when built responsibly**. This guide teaches smart fundamentals. It does **not** promise approvals, specific credit scores, or overnight results.

Important Disclaimer

- **No credit strategy guarantees approval.** Lenders and vendors make independent decisions.
 - **This is educational content, not financial or legal advice.** Consult a CPA and business attorney for your situation.
 - **"Credit repair" schemes that promise tradelines or CPNs are often illegal.** Avoid them.
 - Results depend on revenue, time in business, payment history, and industry risk profile.
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Why Business Credit Matters for Cleaners

Benefit	Real-World Use
Vendor net-30 terms	Buy supplies now, pay in 30 days — smooths cash flow
Business credit cards	Separate expenses, earn rewards, float payroll gap
Equipment financing	Vacuums, vehicles, extractors without draining cash
Insurance premiums	Some carriers review business financial health
Professional credibility	Landlords and commercial clients may request DUNS or credit profile

You do not need business credit to start. Many successful cleaning companies run on personal savings and revenue for the first year. Build credit when cash flow is stable — not as day-one priority.

Step 1: Separate Business and Personal Finances

Non-negotiable foundation.

Checklist

- ☐ LLC or corporation formed (see [LLC Checklist](#))
- ☐ EIN from IRS (free at irs.gov)
- ☐ Business checking account (never commingle personal funds)
- ☐ Business debit/credit card for all company expenses
- ☐ Bookkeeping system (QuickBooks, Wave, or spreadsheet)
- ☐ Business address (registered agent OK; some vendors want physical address)

Why Separation Matters

- Personal liability protection weakens when you mix funds
- Business credit bureaus track **business** accounts — not your personal Netflix charges
- Clean books = easier loans and tax filing

Step 2: Register Your Business Profile

Dun & Bradstreet (D-U-N-S Number)

- Free to obtain at dnb.com
- Many vendors and government contracts reference DUNS
- Update company info annually

Business Credit Bureaus

Bureau	What They Track
Dun & Bradstreet	Trade lines, PAYDEX score
Experian Business	Credit accounts, public records
Equifax Business	Vendor reports, liens

You don't need perfect scores on day one. You need **consistent, verifiable business identity**.

Step 3: Vendor Accounts (Starter Trade Lines)

Vendor accounts are supplier relationships that report payment history to business credit bureaus.

Starter Vendors (Commonly Used — Approval Not Guaranteed)

Vendor	What They Sell	Typical Terms
Uline	Shipping, supplies, paper goods	Net 30
Quill	Office supplies	Net 30
Grainger	Industrial/cleaning equipment	Net 30
Summa	Office furniture/supplies	Net 30
Strategic	Business supplies	Net 30

How to Approach Vendor Credit

1. Order small amounts first (\$50–\$100)
 2. Pay **early** or on time — every time
 3. Ask if they report to D&B or Experian Business
 4. Build 3–5 vendor relationships over 6–12 months
 5. Don't open accounts you don't need just for credit
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Step 4: Business Credit Cards

When You're Ready

- 6+ months in business
- Consistent revenue (\$3K+/month minimum)
- Clean personal credit helps (many issuers require personal guarantee for small business)

Responsible Use Rules

Do	Don't
Pay balance in full monthly	Carry balance at 20%+ APR
Use for supplies, fuel, ads	Use for personal expenses
Keep utilization under 30%	Max out cards before payroll
Set up autopay	Miss payments

Starter Card Types

- **Cash-back business card** — simple, rewards on supplies
- **Secured business card** — if limited history (deposit = credit limit)
- **Store cards** — Lowe's, Home Depot for equipment (use sparingly)

Step 5: Build PAYDEX and Trade History

PAYDEX (D&B) measures how early or late you pay vendors (0–100).

PAYDEX	Meaning
80+	Paid on time or early
70–79	Occasionally late
Below 70	Frequently late — hurts future approvals

Timeline (Realistic)

Month	Milestone
1–3	EIN, bank account, first vendor accounts
4–6	2–3 vendor lines reporting, first business card
7–12	PAYDEX establishing, higher limits
12–24	Equipment financing, line of credit possible

There is no 30-day shortcut. Anyone selling "80 PAYDEX in 30 days" is overselling.

Debt Traps to Avoid

1. Credit Stacking

Opening multiple loans or LOC back-to-back to pull cash. High interest, personal guarantees, and debt spiral risk.

2. Revenue-Based "Advances"

Merchant cash advances (MCA) for cleaning companies — factor rates of 1.3–1.5 mean you repay \$13K–\$15K on a \$10K advance. Use only in true emergencies with a repayment plan.

3. Personal Guarantee Everything

Most small business credit requires your personal guarantee early on. That's normal. **Abnormal:** taking on debt your revenue can't service in 90 days.

4. Buying Tradelines

Paying to "rent" someone else's credit history — often fraudulent and can destroy your business reputation.

5. Neglecting Taxes for Credit

A business credit card doesn't replace IRS obligations. Tax liens destroy business credit overnight.

Financing Options as You Scale

Option	Best For	Caution
SBA microloan	Equipment, working capital	Paperwork, slow process
Business line of credit	Seasonal cash gaps	Only if you have repayment discipline
Equipment lease	Vacuums, vehicles	Total cost higher than buying
Invoice factoring	Commercial contracts	Expensive; rare for residential
Revenue-based financing	Fast cash	High effective APR

Rule: If you can't explain how you'll repay it from **existing or contracted revenue**, don't borrow.

What Lenders Actually Look At

1. **Time in business** — 2+ years preferred for traditional loans
 2. **Revenue** — tax returns and bank statements
 3. **Debt service coverage** — can you pay this loan + existing debt?
 4. **Industry** — cleaning is service-based, asset-light (higher perceived risk)
 5. **Personal credit** — still matters for small business
 6. **Business credit file** — trade lines, PAYDEX, no liens
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Monthly Credit Health Checklist

- ☐ All vendor invoices paid on time
 - ☐ Credit card balance paid in full
 - ☐ No new accounts opened unnecessarily
 - ☐ Business credit report reviewed (annual free check where available)
 - ☐ D&B profile updated and accurate
 - ☐ No personal expenses on business accounts
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When to Pause Credit Building

Stop applying for new credit if:

- Revenue dropped 20%+ month over month
- You're using credit to make payroll
- You have unresolved tax issues
- You don't have 3 months operating expenses saved

Fix cash flow first. Credit amplifies good operations — it doesn't fix broken ones.

100% Cleaner Credit Philosophy

1. **Revenue before credit** — sell jobs, then borrow for growth
 2. **Separate always** — business accounts only for business
 3. **Pay early** — vendor relationships matter in this industry
 4. **No guarantees** — every approval is a maybe until it's yes
 5. **Avoid debt traps** — MCAs and credit stacking kill more cleaning companies than competition
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Consult a qualified CPA or financial advisor before making credit decisions. 100% Cleaner / The Cleaning CEO Blueprint.